Additional information:

On 1st April, 2017, the club had investment of ₹ 40,000. The club also had a credit balance of ₹ 30,000 in Match fund account. On 31st March, 2017 subscriptions in arrears were ₹ 4,000 and the subscriptions in arrears on 31st March, 2018 were ₹ 4,500. Prepare the final accounts.

Solution

Tutorial note

To find the opening capital fund, opening balance sheet should be prepared.

In the books of Madurai City Club
Balance sheet of as on 31st March, 2017

Liabilities	₹	Assets	₹
Capital fund		Investment	40,000
(Balancing figure)	**21,500**	Subscriptions outstanding	4,000
Match fund	30,000	Cash at bank	7,000
		Cash in hand	500
	51,500		51,500

Dr. Income and Expenditure Account for the year ended 31st March, 2018 Cr.

Expenditure	₹	Income	₹	₹
To Upkeep of ground	16,500	By Subscriptions	30,000	
To Sundry expenses	11,000	Less: Received for 2016-17	4,000	
To Excess of income			26,000	
over expenditure (surplus)	**13,000**	Add: Outstanding for the current year	4,500	30,500
		By Hall rent		10,000
	40,500			40,500

Balance sheet as on 31st March, 2018

Liabilities	₹	₹	Assets	₹
Capital fund	21,500		Furniture	20,000
Add: Excess of income over			Investment	40,000
expenditure (surplus)	13,000	34,500	Subscription outstanding	4,500
Legacies		9,000	Cash at bank	11,000
Match fund	30,000		Cash in hand	1,500
Add: Receipts for match fund	22,500			
	52,500			
Less: Match expenses	19,000	33,500		
		77,000		77,000

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